and coins are perfect money as these are used to make payment by simple transfer. Likewise, current account deposits and most savings bank deposits are also instantaneously usable for making payments. By differentiating deposits in terms of their being demanded or their instantaneousness, central banks like RBI describe different variation of broad money stock in terms of M1 (currency in circulation plus demand deposits), M2 (M1 plus deposits in post office savings bank accounts), M3 (M1 plus time deposits held by banks) and sometimes M4 (M3 plus time deposits held in post offices). RBI used the money classification system to accommodate post office deposits that were quite material till twenty-five to thirty years ago. This is no longer the case. The global monetary system has two broad classifications: M1 (currency in circulation and demand deposits with the banks) and M2 (M1 plus time deposits with banks/monetary institutions). M1 is also described as narrow money and M2, broad money.

With the spread of digitalization, the rigidity in using deposits for payments has been increasingly diminishing. Today's savings accounts are literally current accounts in the hands of account holders. Even fixed deposits held in banks are convertible into savings or being withdrawn prematurely, as term deposits become increasingly digital. The currency held by the public and total deposits in the banks effectively comprise the total stock of money.

This stock of money can be used to make payments for goods and services produced and exchanged in the economy. Currency circulates and, over a period of time, coins and notes can get used many times over. The frequency of use of currency in economies differs on account of several factors. If some currency is stashed away, that amount does not circulate. If some coins become debased, they go out of circulation. Term deposits with banks with stiffer penalties or in non-electronic mode are unlikely to get used for payments.